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KCB Kenya FY'2025 Earnings Note



KCB Group FY'25 Earnings Note

17th March 2026

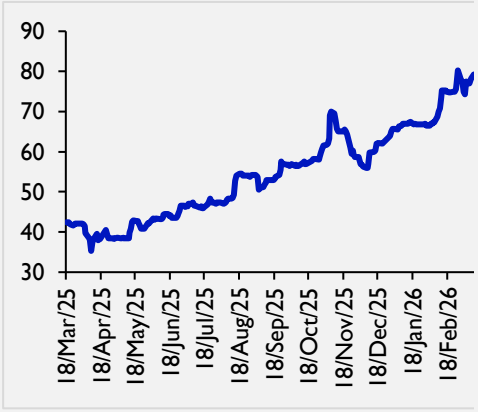
Ticker Information	
NSE Code:	KCB
Issued Shares (Bn):	3.21
52-week high:	KES 80.5
52-week low:	KES 15.0

Recommendation	Current Price	Target Price
BUY	**KES 78.75**	**KES 87.14**

Summary

- **KCB Group posted a 10.6% y/y growth in net earnings, coming in at KES 68.35 Bn, supported by 7.8% y/y growth in net interest income, which came in at KES 148.02 Bn, despite a 2.6% y/y dip in non-funded income to KES 65.76 Bn**. Total assets increased by 4.6% y/y to KES 2.15 Tn, as the loan book expanded by 16.3% y/y to KES 1.15 Tn, alongside an increase in government securities. Customer deposits also increased by 15.2% to KES 1.60 Tn. **The Board of Directors recommended a final dividend of KES 3.0 per share, inclusive of a special dividend of KES 1.0 per share, bringing the total dividend for the year to KES 7.0 per share, including the KES 4.00 paid in interim earnings, presenting a 133.3% increase from KES 3.00 paid in FY'24.**

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	4.7%	30.7%	48.6%	86.8%

Source: NSE, AIB-AXYS Research

Key Highlights

- **Earnings Mix:** Interest income declined by 1.7% to KES 209.73 Bn, largely driven by a 3.3% y/y decline in revenue from loans and advances to KES 148.59 Bn, owing to declining interest rates, which compressed margins from loans despite an expansion in the loan book. At the same time, interest from government securities jumped 3.8% y/y to KES 52.13 Bn, linked to a 4.6% y/y increase in government securities to KES 407.40 Bn from KES 389.55 Bn. Notably, interest expenses recorded an 18.9% y/y drop to KES 61.70 Bn. This performance can be linked to falling interest rates, which compelled the lender to push down interest rates on deposits. Notably, interest on customer deposits eased 12.7% y/y to KES 48.41 Bn from KES 55.42 Bn, despite an increase in customer deposits. Other income jumped, largely tied to the sale of NBK. On the other hand, non-funded income eased by 2.6% to KES 65.76 Bn from KES 67.52 Bn. Performance was largely driven by a 35.2% y/y decline in FX trading income to KES 11.36 Bn, on the back of thinner margins and reduced trading volumes.
- **Asset Quality:** Gross non-performing loans registered a 6.1% y/y drop to KES 211.84 Bn from KES 225.69 Bn. Management cited heightened recovery efforts, rehabilitation, and engagement with the government for related entities. The NPL ratio improved to 16.7%. Notably, manufacturing and trade remain the most challenged sectors. The lender noted improvements in the Real Estate and Household sectors. Furthermore, the lender improved its provisioning by 1.8% y/y to KES 118.67 Bn, improving the coverage ratio to 74.0% from 65.1%.

Balance Sheet Dynamics

Total assets increased by 9.4% to KES 2.15 Tn, lifted by 16.3% y/y growth in the loan book to KES 1.15 Tn, a commendable feat after the sale of NBK. The bank credited an innovative value proposition in key segments, especially in the Kenyan market. Easing monetary policies lowered lending rates, which helped improve credit uptake. Additionally, there was a 4.6% growth in government securities to KES 407.40 Bn. By segment mix, corporates accounted for 53.0% of the loan book, while 75.0% remains denominated in local currency. On the funding side, total liabilities increased by 7.6% y/y on the back of a 15.2% y/y increase in customer deposits to KES 1.59 Tn, especially from the retail and corporate segments. Notably, call deposits accounted for 14.0% of total deposits from 12.0% in FY'24, while term deposits accounted for 19.0% of total deposits from 21.0% in FY'24.

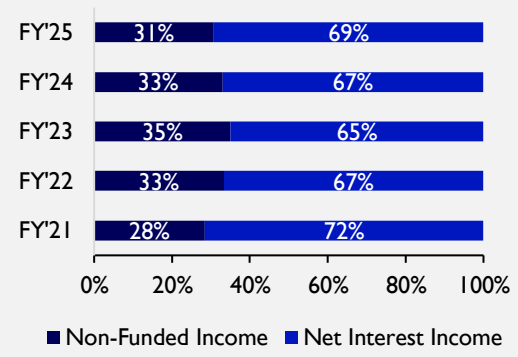
Outlook

KCB proved to have the right recipe to grow net revenues despite a low-interest-rate environment. Management noted they were prudent at the start of the year, offloading expensive deposits, hence preserving margins, and this was evident in net earnings. We anticipate a gradual credit uptake through 2026, which will continue to drive the bottom line. Furthermore, key investments are poised to drive growth, such as *Riverbank*, aimed at boosting digital capabilities, which is expected to drive Non-Funded Income, while *Pesapal* is expected to drive CASA deposits mobilization. Additionally, regional subsidiaries are expected to support the Group's growth in the near and long term. Key to mention, subsidiaries contributed KES 20.30 Bn to the Group's net earnings, with strong growth registered in Tanzania, Uganda, and Rwanda. Non-banking subsidiaries are also expected to act as a tailwind going forward. We are encouraged by progress towards offsetting the NPL stock. However, NPL levels are still elevated, and the NPL ratio remains above the industry median. We note that the lender has improved provisioning for the NPLs. Low lending rates, as banks continue to implement KESONIA (*although the implementation process leaves room for lenders and the regulator to wrestle*), should help borrowers honor their obligations; add that to the improving macroeconomic conditions. It is important to note that the ongoing conflict in the Middle East, if prolonged, may weigh on performance.

Recommendation

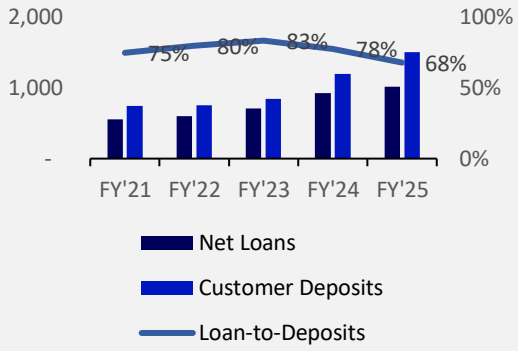
We maintain a BUY recommendation on KCB on the back of a resilient core business, a fortress balance sheet, and resilient subsidiary performance to support sustainable profitability. At the current market price, the stock is trading at a P/E ratio of 3.8x and a P/B ratio of 0.76x. Our one-year target price for KCB currently stands at KES 87.14- representing a c 10.7% upside potential from current levels.

Chart 2: Earnings Mix



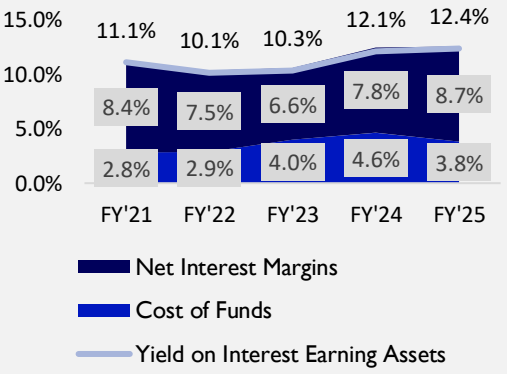
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Improving Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Mn)	FY'21	FY'22	FY'23	FY'24	FY'25	y/y % Change
Net Interest Income	77,694.0	86,653.3	107,334.0	137,346.0	148,022.5	▲ 7.8%
Net non-Interest Income	30,940.6	43,251.5	57,904.7	67,520.6	65,755.4	▼ (2.6%)
Total Operating Income	108,634.6	129,904.8	165,238.7	204,866.7	213,777.9	▲ 4.3%
Provision for Impairment	(12,988.1)	(13,206.9)	(33,635.6)	(29,950.4)	(32,416.7)	▲ 8.2%
Total Operating expenses	(60,820.3)	(72,573.5)	(116,786.6)	(122,894.1)	(122,874.0)	▼ (0.0%)
Profit before tax	47,814.3	57,331.4	48,452.1	81,972.6	90,903.9	▲ 10.9%
Profit after tax	34,173.0	40,837.7	37,461.5	61,774.2	68,351.2	▲ 10.6%
Core EPS Annualized	10.6	12.7	11.7	18.7	20.8	▲ 11.2%
Final DPS	2.0	2.0	0.00	3.0	7.0	▲ 133.3%
Government Securities	270,835.0	278,020.3	397,202.2	389,547.7	407,398.8	▲ 4.6%
Loans and Advances	675,480.4	863,268.1	1,095,933.2	990,413.0	1,151,576.5	▲ 16.3%
Total Assets	**1,139,672.6**	**1,554,030.0**	**2,170,874.0**	**1,962,320.1**	**2,147,206.6**	▲ 9.4%
Customer Deposits	837,141.4	1,135,417.4	1,690,908.4	1,381,975.7	1,592,611.8	▲ 15.2%
Total Liabilities	966,165.0	1,347,753.7	1,935,313.1	1,679,339.0	1,806,651.0	▲ 7.6%
Shareholder's Funds	**171,713.2**	**200,200.4**	**227,523.0**	**274,889.6**	**331,466.8**	▲ 20.6%

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	y/y % Change
Spreads Analysis						
Yield on Assets	11.1%	10.1%	10.3%	12.1%	12.4%	▲ 0.2%
Cost of Funds	2.8%	2.9%	4.0%	4.6%	3.8%	▼ (0.8%)
Net Interest Margin	8.4%	7.5%	6.6%	7.8%	8.7%	▲ 0.9%
ROaE	21.8%	22.0%	17.5%	24.6%	22.5%	▼ (2.0%)
ROaA	3.2%	3.0%	2.0%	3.0%	3.3%	▲ 0.3%
Profit Margin	31.5%	31.4%	22.7%	30.2%	32.0%	▲ 1.8%
Operating Effiency						
Cost to Income Less LLP	44.0%	45.7%	50.3%	45.4%	42.3%	▼ (3.1%)
Cost to Assets Less LLP	4.2%	3.8%	3.8%	4.7%	4.2%	▼ (0.5%)
Loan to Deposit Ratio	80.7%	76.0%	64.8%	71.7%	72.3%	▲ 0.64%
Asset Quality						
Gross NPL Ratio	16.9%	17.3%	17.3%	20.4%	16.7%	▼ (3.7%)
NPL Coverage	52.9%	52.4%	62.5%	65.1%	74.0%	▲ 9.0%
Cost of Risk	1.9%	1.5%	3.1%	6.0%	5.6%	▼ (0.4%)
Capital Adequency						
Core Capital/TRWA	18.0%	14.5%	12.2%	16.8%	18.6%	▲ 1.8%
Total Capital /TRWA	21.7%	18.1%	17.4%	19.4%	22.3%	▲ 2.9%
Liquidity	39.1%	38.5%	48.5%	47.6%	50.8%	▲ 3.2%



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